

INDEPENDENT AUDITORS' REPORT

To,
The Members of
KDH Textile Private Limited
New Delhi

Opinion

We have audited the standalone financial statements of "KDH Textile Private Limited", which comprise the Balance Sheet as at March 31, 2024 and the Statement of Profit & Loss and statement of Cash flow statement for the year then ended 31.03.2024 and notes to financial statements, including summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting standards prescribed under section 133 of the Act Read with the companies Accounting standard rules 2006 as amended and other accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2024, and profit/(loss), and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the financial statements in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules there under, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the financial Statements.

Material Uncertainty Related to Going Concern

There is no material uncertainty related to going concern. The company has prepared the aforesaid statements on going concern basis.

Key Audit Matters

Reporting of Key audit matters as per SA 701, key audit matters are not applicable to the company as it is an unlisted company.

Information other than the financial statements and auditors' report thereon

The Company's board of directors is responsible for the preparation of the other information. The other information comprises the information included in the Board's Report including Annexures to Board's Report, Business Responsibility Report but does not include the financial statements and our auditor's report thereon.



INDEPENDENT AUDITORS'S REPORT- KDH TEXTILE PRIVATE LIMITED FOR THE Y.E 31.3.2024- CONTD....

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibility of Management for Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance and cash flow of the Company in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors are also responsible for overseeing the company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

a) Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.



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b) Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.

c) Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

d) Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

e) Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of Section 143 of the Companies Act, 2013 we give in the annexure-A, a statement on the matters specified in paragraph 4 and 5 of the said order to the extent applicable

As required by Section 143(3) of the Act, we report that:

We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;

(a) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books;

(b) The Balance Sheet and the Statement of Profit and Loss, cash flow statement dealt with by this Report are in agreement with the books of accounts;

(c) In our opinion, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014, to the extent applicable;

(d) On the basis of the written representations received from the directors as on 31st March, 2024 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2024 from being appointed as a director in terms of Section 164 (2) of the Act;

(e) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in Annexure 'B'

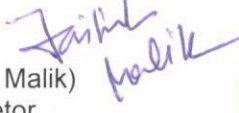


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(f) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

- i. The Company does not have any pending litigations which would impact its financial position.
- ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
- iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.
- iv.(a) The management has represented that, to the best of its knowledge and belief, other than as disclosed in the notes to the accounts, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;
- (b) The management has represented, that, to the best of its knowledge and belief, other than as disclosed in the notes to the accounts, no funds have been received by the company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and
- (c) Based on audit procedures which we considered reasonable and appropriate in the circumstances, nothing has come to their notice that has caused them to believe that the representations under clause (iv)(a) and (iv)(b) contain any material mis-statement.
- v. The company has not declared or paid any dividend during the year in contravention of the provisions of section 123 of the Companies Act, 2013.
- (g) Based on our examination which included test checks, the company has used an accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software. Further, during the course of our audit we did not come across any instance of audit trail feature being tampered with.
- (h) With respect to the matter to be included in the Auditors' Report under Section 197(16) of the Act, in our opinion and according to the information and explanations given to us, the limit prescribed by section 197 for maximum permissible managerial remuneration is not applicable to a private limited company.

For Jaikrit Malik & Associates
Chartered Accountants

Sd/- 
(Jaikrit Malik)
Proprietor
M. No. 521088
PLACE: NEW DELHI
Dated: 29.09.2024



Annexure B

**Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the
Companies Act, 2013 ("the Act")**

We have audited the internal financial controls over financial reporting of KDH Textile Private Limited ("the Company") as of 31st March 2024 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

MANAGEMENT'S RESPONSIBILITY FOR INTERNAL FINANCIAL CONTROLS

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

AUDITOR'S RESPONSIBILITY

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

MEANING OF INTERNAL FINANCIAL CONTROLS OVER FINANCIAL REPORTING

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that:

- (1) Pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;
- (2) Provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and



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- (3) Provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

INHERENT LIMITATIONS OF INTERNAL FINANCIAL CONTROLS OVER FINANCIAL REPORTING

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

OPINION

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March 2024, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

For Jaikrit Malik & Associates
Chartered Accountants

Sd/-
(Jaikrit Malik)
Proprietor
M. No. 521088
Place: New Delhi
Dated: 29.09.2024



M/S KDH TEXTILE PRIVATE LIMITED: NEW DELHI

CARO -31.3.2024

I. In respect of its Property Plant Equipment and Intangible Assets:

- The Company has maintained proper records showing full particulars including quantitative details and situation of fixed assets on the basis of available information.
- The Company has maintained proper records showing full particulars of intangible assets as reflected in books.
- As explained to us, all the Property , plant and equipments have been physically verified by the management in a phased periodical manner, which in our opinion is reasonable, having regard to the size of the Company and nature of its assets. No material discrepancies were noticed on such physical verification
- According to information and explanation given to us and on the basis of our examination of the records of the company, the title deed of the immovable property is held in the name of company.
- The Company has not revalued its property, plant and equipment (including right of use of assets) or intangible asset of both during the financial year.
- There are no proceedings initiated or are pending against the Company for holding any benami property under the Prohibition of Benami Property Act, 1988 and rules made there under.

II. In respect of its inventories:

- Physical verification of the inventory has been conducted by the management at reasonable intervals and in our opinion the coverage and procedures adopted by the management for such verification was appropriate and no discrepancies were noticed on physical verification of inventory as compared to books record which could aggregate 10% or more for each class of inventory.
- According to information and explanation given to us, the Company has been sanctioned working capital limits in excess of Rs. 5 Crores, in aggregate, at any time during the year, from banks or financial institutions on the basis of security of the current assets of the Company. The quarterly returns/ statements filed by the company with such bank **are generally in agreements** with books of account of the company except for following minor differences due to late receiving of invoices/ purchase bills, or bills which are yet to be entered in books on date of filing of stock statement. The detail of the same are given below:- (Amount in Lakhs)

Quarter	Particulars	Amount in Stock Statement	Amount in Books	Remarks
Q1	Inventory	3464.27	3444.68	Excess in Stock Statement
Q1	Debtors	4089.62	4046.50	Excess in Stock Statement
Q1	Creditors	353.18	355.92	Short in Stock Statement
Q2	Inventory	3959.36	3942.81	Excess in Stock Statement
Q2	Debtors	2640.35	3487.68	Short in Stock Statement
Q2	Creditors	315.27	268.29	Excess in Stock Statement
Q3	Inventory	3340.99	3572.47	Short in Stock Statement
Q3	Debtors	4620.00	4538.56	Excess in Stock Statement
Q3	Creditors	1057.55	1074.83	Short in Stock Statement



- III.** During the year the company has not made any investment in , provided any guarantee or securities or granted any loan or advance in the nature of loans, secured or unsecured to companies, firm, llp or other parties, hence clause no (a),(b),(c),(d),(e) are not applicable.
- IV** In our opinion and according to the information and explanation given to us, the company has complied with the provision of section 185 and 186 of the Act, 2013 In respect of loan investment, guarantee, and security.
- V** The Company has not accepted any deposits from public and hence directive issued by RBI and the provision of section 73 to 76 or any other relevant provision of the act and the companies (Acceptance of Deposit) rule, 2015, with regards to deposits accepted from the public are not applicable.
- VI** According to the information and explanations given to us, the maintenance of cost records has not been specified by the central government sub -section (1) of section 148 of the act, in respect of the activities carried on by the company

VII In respect of statutory dues:

- a) According to information and explanation given to us, and according to the books & records produced and examined by us, in our opinion the company is generally regular in depositing undisputed statutory dues including provident fund, investor education and protection fund, employees' state insurance, income tax, GST, wealth tax, service tax, custom duty, excise duty, cess and other material statutory dues as applicable with the appropriate authorities except for TDS and TCS which were deposited late on some occasions . Total TDS, TCS which was paid late is Rs 11,49,381/-; Rs 30,824/- Resp.

According to the information and explanations given to us, no disputed amounts payable in respect of provident fund, employees' state insurance, income- tax, sales- tax, service tax, goods and service tax, duty of customs, duty of excise, value added tax, cess and other material statutory dues were in arrears as at March 31, 2024 for a period of more than six months from the date they became payable.

- b) As at 31st March, 2024 according to information and explanation given to us, the dues of income tax which have not been deposited on 31st March 2024 on account of any dispute are as follows:-

S. no	AY	Amount Rs..	Nature of Dues	Status
1	2018-19	17,31,560/-	Income Tax Act- Intimation under Income tax Act vide Communication reference No. CPC/1819/A6/1900687935 dated 05-12-2019.	The company has already filed appeal before commissioner of income Tax (Appeals) vide Acknowledgement number 320994381120320 dated 12.03.2020 in terms of Section 246 of Income Tax Act, 1961.This appeal has been decided in favor of the assessee vide order dated 24.06.2024is still pending as on date and appeal effect has also been given by the department.

- VIII** Based on our audit procedures and according to the information and explanations given to us, we are of the opinion that the Company has no transaction which are not recorded in books of accounts



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- IX** a) Based on the information and explanation given to us and on the overall examination of the Balance Sheet of the company, we are of the opinion that the company has not defaulted in repayment of loans or other borrowings or in payment of interest thereon to any lender.
- b) The company has not been declared willful defaulter by any bank or financial institution or other lenders
- c) Based on our audit procedures and on the basis of information and explanation given by the management, we are of the opinion that the terms loan have been applied for the purpose for which such loans were obtained by the company.
- d) The company has not raised funds on short term basis which have been utilized for long term purposes; hence this clause is not applicable.
- e) The company has not taken fund from any entity or person on account of or to meet the obligation of its subsidiaries, associates or joint ventures; hence this clause is not applicable.
- f) The company has not raised any loan during the year on the pledge of securities held in its subsidiaries, associates or joint ventures; hence this clause is not applicable
- X** a) During the year the company has not raised moneys by way of initial public offer or further public offer including debt instruments rather the company has made right issue of shares to existing shareholder only.
- b) Based upon the audit procedures performed and information and explanations given by the managements, the company has not made any preferential allotment or private placement of the shares or fully or partially or optionally convertible debenture during the year under review. The company has made right issue of shares to existing shareholder only
- XI** a) Based on our audit procedures and on the basis of information and explanations given by the managements, we report that no fraud on or by the company has been noticed or reported during the year.
- b) As no fraud by the company has been noticed or reported, no report has been filed under sub section 12 of section 143 of the companies act in the form ADT-4 as prescribed under rule 13 of companies (Audit and Auditors) rules, 2014 with central Government.
- c) During the year the company has not received any complaints in the nature of whistle blower complaints.
- XII** In our opinion company is not a Nidhi company .therefore the provision of clause 3(xii) of the order is not applicable to the company.
- XIII** In our opinion and according to the information and explanation given by the managements, as the company is an unlisted private limited company provisions of section 177 of companies act 2013 are not applicable to the company, further all transaction with the related parties are in compliance with the section 188 of the companies act 2013 and details have been disclosed in the financial statements as required by the applicable accounting standards.
- XIV** The company does not have internal audit systems and is not required to have an internal audit system under the provision of section 138 of the companies act 2013 therefore the requirement to report under this clause of the order are not applicable.
- XV** Based upon the audit procedure performed and the information given by the management, the company has not entered to any non cash transaction with director or persons connected with him. Accordingly provision of clause 3 (xv) of the order are not applicable to the company and has not commented upon.



- XVI** a) In our opinion the company is not required to registered under section 45 IA of the reserve bank of India act, 1934
b) The company has not conducted any non banking financial or housing finance activities without a valid certificate of registration (COR) from the RBI as per the RBI Act, 1934
c) The company is not a core investment company (CIC) as defined in the regulations made by the RBI
d) The group has no CIC as part of the group, hence this clause is not applicable
- XVII** The company has not incurred cash loses in the financial year and in the immediately preceding financial year.
- XVIII** During the year there is no resignation of statutory auditors
- IX** In our opinion and the basis of the financial ratios, ageing and expected dates of the realization of financial assets and payment of financial liabilities, other information accompanying the financial statements, no material uncertainty exists as on the date of the audit report that the company is capable of meeting its liabilities existing at the date of the balance sheet as and when they fall due within a period of one year from the date of the balance sheet. I, however, state that this is not an assurance as to the future viability of the Company. I further state that our reporting is based on the facts up to the date of the audit report and we neither given any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.
- XX** Based upon the audit procedure performed and the information given by the management, we are of the opinion that the provision of section 135 relating to CSR is not applicable to the company, hence this clause is not applicable
- XI** The provision of this clause of the order is not applicable to the company.

For Jaikrit Malik & Associates
Chartered Accountants

Sd/-
(Jaikrit Malik)
Proprietor
M. No. 521088
PLACE: NEW DELHI
Dated:29.09.2024



M/S KDH TEXTILE PRIVATE LIMITED

SIGNIFICANT ACCOUNTING POLICIES & NOTES ON FINANCIAL STATEMENTS

Year ending: 31-03-2024

(All Figures in Lakhs)

Note No. : 27-28

Note no -27 : Significant Accounting Policies

1. General Information:-

This company was incorporated under Companies Act 1956 as Private Limited Company. It is engaged in the business of embroidery work on fabrics and trading of unstitched ladies suits, fabrics etc. It has not discontinued any of its business. Therefore no information regarding discontinued activities is given in these accounts

2. Basis of accounting:-

These financial statements have been prepared in accordance with the Generally Accepted Accounting Principles in India (Indian GAAP) including the Accounting Standards notified under Section 133 of the Companies Act, 2013, read with Rule 7 of the Companies (Accounts) Rules, 2014 and the relevant provisions of the Companies Act, 2013.

The financial statements have been prepared under the historical cost convention on accrual basis.

3. Use of Estimates

The preparation of financial statements in conformity with Indian GAAP requires the management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the disclosure of contingent liabilities, at the end of the reporting period. Although these estimates are based on the management's best knowledge of current events and actions, uncertainty about these assumptions and estimates could result in the outcomes requiring a material adjustment to the carrying amounts of assets or liabilities in future periods.

4. Revenue Recognition:-

- Expenses and Income considered payable and receivable respectively are accounted for on accrual basis.
- Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured.
- Sales/ Revenue have been accounted for at the actual realized price net of sales tax/ GST collected. Revenue from sale are recognized simultaneously when delivered and all significant risks and rewards of ownership have been transferred to the buyers. There are no transactions involving sale of goods and services, total amount of which is not recognized as revenue during the previous year due to lack of reasonable certainty of its ultimate collection.
- Claims by and against the company are accounted on settlement.
- Liability for taxes arising on completion of assessment are accounted for when raised.
- Bank charges and interest as and when debited by bank.

5. Property, Plant & Equipment :-

Property, Plant & Equipment including intangible assets are stated at their original cost of acquisition including taxes, freight and other incidental expenses related to acquisition and installation of the concerned assets less depreciation till date.

Company has adopted cost model for all class of items of Property Plant and Equipment.



Depreciation :-

Depreciation on Fixed Assets is provided to the extent of depreciable amount on the Written down Value (WDV) Method/SLM method. Depreciation is provided based on useful life of the assets as prescribed in Schedule II to the Companies Act, 2013.

7. Foreign currency Transactions: -

Monetary Assets and Liabilities in foreign currencies are translated at the exchange rates and the profit or loss arising out of such translation is taken in Profit & Loss account. Income and expenditure items are accounted for at the exchange rates prevailing on the date of such transactions and closing balance are revalued on the closing date. The profit or loss arising out of such translation is taken in Profit & Loss account. During the year the assessee has taken FCNB loan which is hedge and the total loss at the time of inception of hedge contract is Rs 20.47 and out of this loss Rs 3.09 has been charged to profit and loss account and the remaining loss is shown as current asset and will be charged to profit and loss in the next year.

8. Investments :-

Company does not own any investment during the year.

9. Inventories :-

Inventories are valued as under:-

1. Inventories:- Lower of cost (FIFO) or net realizable value
2. Raw Materials, Stores, Spare parts and goods in transit are valued at cost or NRV which ever is lower
3. Work in progress are valued at cost of material plus direct labour plus other overheads
4. Finished goods are valued at cost or NRV which ever is lower
5. Any shortage/ excess in raw material detected at the time of physical verification is included in consumption of goods.
6. The Company is engaged in embroidery work on fabrics and trading of unstitched ladies suits & fabrics. The value of closing stock as on 31.03.2024 as certified by the directors and valued at cost price on fifo basis is Rs 3,096.44 lakhs. Method adopted is cost or NRV whichever is lower. Cost is determined on First in first Out Method. Cost is comprising of all cost of purchase, cost of conversion and other cost incurred in bringing the inventories to their present locations and condition.

10. Miscellaneous Expenses:-

Miscellaneous Expenditure comprises of Preliminary expenses which had been already amortized over period of five years.

11. Borrowing cost:-

Borrowing costs that are attributable to the acquisition or construction of the qualifying assets are capitalized as part of the cost of such assets. A qualifying assets is one that necessarily takes a substantial period of time to get ready for its intended uses or sale. All other borrowing costs are charged to revenue in the year of incurrence. The amount of borrowing cost capitalized during the year is Nil.

12. Retirement Benefits:-

The gratuity and leave encashment has been provided in books on accrual basis on the basis of actuarial valuation.



Taxes on Income:-

Provision for current tax is made on the basis of estimated taxable income for the current accounting year in accordance with the Income Tax Act, 1961. The deferred tax for timing differences between the book and tax profits for the year is accounted for, using the tax rates and laws that have been substantively enacted by the balance sheet date. Deferred tax assets arising from timing differences are recognized to the extent there is virtual certainty with convincing evidence that these would be realized in future. At each Balance Sheet date, the carrying amount of deferred tax is reviewed to reassure realization.

14. Provisions, Contingent Liabilities and Contingent Assets:- (AS-29)

Provisions are recognized only when there is a present obligation as a result of past events and when a reliable estimate of the amount of the obligation can be made.

Contingent Liabilities is disclosed in Notes to the account for:-

- (i) Possible obligations which will be confirmed only by future events not wholly within the control of the company or
- (ii) Present Obligations arising from past events where it is not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of the amount of the obligation cannot be made.

Contingent assets are not recognized in the financial statement since this may result in the recognition of the income that may never be realized.

General:

Except wherever stated, accounting policies are consistent with the generally accepted accounting principles and have been consistently applied.

Bank Guarantees against security of FDR	Cy Nil	Py 31.00 lakh
FDR for EPCG Guarantee and margin money	34.05 lakh	32.14 lakh
FDR given for bank guarantee outstanding as on 31.3.2024 is Rs 34.05 lakhs.		

Note no 28:- Notes on Financial Statements

1. Employee Benefit Expense after considering directors remuneration of Rs.66.00 is Rs. 206.08(Previous Year Rs. 176.38 after considering director remuneration of Rs. 49.50).
2. Trade receivables, Trade payables, Loans & Advances and Unsecured Loans have been taken at their book value subject to confirmation and reconciliation.
3. Payments to Auditors:

Auditors Remuneration	2023-24	2022-23
For Audit	0.20	0.20
For Company Matters	-	-
For Other Services	-	-
Total	0.20	0.20

4. Loans and Advances are considered good in respect of which company does not hold any security other than the personal guarantee of persons.
5. The gratuity amounting Rs 9.97(Previous Year Rs. 5.18) has been provided in books on accrual basis on the basis of actuarial valuation.



Closing stock of finished goods has been incorporated in the books of the basis of physical inventories taken and valued by the management and all shortage and excess thereby stand adjusted in the books.

There are Micro & small Enterprises, to whom the company owes dues as on 31st March 2024. The Total outstanding as on 31.03.2024 is Rs. 370.73 lakhs. This information as required to be disclosed under the Micro, Small and Medium Enterprises Development Act, 2006 has been determined to the extent such parties have been identified on the basis of the information available with the company.

8. That there is no employee of the company who is in receipt of remuneration for that year of Rs. 5,00,000/- per month or Rs. 60,00,000/- or more per annum if employed for part of a year or full year.

9. Advance to others includes advances to concerns in which directors are interested:

Name of Concern	Current Year Closing Balance	Previous Year Closing Balance
	Nil	Nil

10. In the opinion of the Board, Current Assets, Loan & Advances have a value on realization in the ordinary course of business at least equal, to the amount at which they are stated in the Balance Sheet and provision has made for the all known liabilities.

11. Related Party disclosure as identified by the company and relied upon by the auditors:

(A) Related Parties and their Relationship

(I) Key Management Personnel

S.NO.	Name of Related Party/ Associated Party	Nature Of Relation	Nature of Payment	Amount(in Lakh) Current year (previous year)
1.	Rajpal Narang	Director	Remuneration	18.00 (13.50)
2.	Nirmal Jeet Narang	Director	Remuneration	24.00 (18.00)
3.	Vickram Jeet Narang	Director	Remuneration	24.00 (18.00)
4.	Rajpal Narang	Director	Loan- Closing Balance	22.48 (16.63)
5.	Nirmal Jeet Narang	Director	Loan- Closing Balance	65.29 (26.04)
6.	Vickram Jeet Narang	Director	Loan- Closing Balance	89.56 (15.00)

(II) Relative of Key Management Personnel :- **NIL**

(III) Enterprises owned or significantly influenced by Key Management personnel or their relatives:- **Nil**

12. % of imported & indigenous raw material & consumables

Particulars	2024		2023	
	%	Amount	%	Amount
Imported	0.00	0.00	0.00	0.00
Indigenous	100.00	17172.05	100.00	15866.31

13. Value of Imports
Raw Material
Finished Goods



Nil
Nil

Nil
Nil

- Expenditure in Foreign Currency(Actual Amount Nil CHF 924977
15. Earning in Foreign Exchange Nil Nil
16. Capital Commitments during the year Nil Nil
17. That Provision for taxation is ascertained on the basis of assessable profits computed in accordance with the provisions of the income tax act. 1961.
18. That charges which is yet to be satisfied with registrar of company and the same is beyond the statutory period are:-

Assets Under Charge	Charge Amount	Date of Creation	Date of Modification	Status	Remarks
Nil	Nil	Nil	Nil	Nil	Nil

19. Analytical Ratios are as under:-

Ratio	Numerator	Denominator	C.Y. Ratio	P.Y. Ratio	% Change	Reason for variance
(a) Current Ratio	Current Assets	Current Liabilities	1.31	1.39	-5.76	
(b) Debt-Equity Ratio	Long Term Debt + Short Term Debt	Shareholder equity	2.14	2.15	-0.47	
(c) Debt Service Coverage Ratio	Earning Before Interest, tax, Depreciation & Amortisation	Total principal + Interest on Borrowings	0.00	0.00	0.00	
(d) Return on Equity Ratio	Earning After Interest, tax, Depreciation & Amortisation	Average Shareholder's Equity	0.09	0.13	-30.77	Due to decrease in earning after tax with respect to decrease in revenue from revenue.
(e) Inventory turnover ratio	Turnover	Average Inventory	8.11	11.04	-26.54	Due to decrease in Turnover and significant increase in average inventory as compared to the previous year
(f) Trade Receivables turnover ratio	Net Credit Sales	Average Trade Receivable	3.22	3.94	-18.27	
(g) Trade payables turnover ratio	Net Credit Purchase	Average Trade Payable	10.32	12.20	-15.41	
(h) Net capital turnover ratio	Total Sales	Average Working Capital	8.23	9.51	-13.46	
(i) Net profit ratio	Net Profit	Net Sales	0.01	0.01	0.00	
(j) Return on Capital employed	Earning Before Interest & tax	Capital employed	0.10	0.11	-9.09	
(k) Return on investment			0.00	0.00	0.00	



As-22 On Accounting For Taxes On Income Components of deferred tax assets and liabilities arising on account of timing differences are:

Particulars	Current Year	Previous Year
DEFERRED TAX ASSETS	30.77	30.77
on account of Depreciation	16.92	(3.40)
Total	44.29	27.37
DEFERRED TAX LIABILITIES	-	-
on account of Depreciation	-	-
Total	-	-
NET DEFERRED TAX/ (LIABILITIES) / ASSET	44.29	27.37

21. Previous year figures have been regrouped/rearranged wherever necessary to make them comparable with those of the current year. Figure in bracket wherever appears represents previous year figures.
22. **Undisclosed Income**
The Company does not have any such transactions which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (such as, search or survey or any other relevant provisions of the income Tax Act, 1961).
23. Company has not made any revaluation of Property, Plant and Equipment.
24. Company has not granted any Loans or Advances in the nature of loans to promoter's, directors, KMPs and the related parties (as defined under Companies Act, 2013,)
25. The Company does not have any Benami Property and no proceedings have been initiated or is pending against the Company for holding any Benami property.
26. The Company has not been declared a wilful defaulter by any bank or financial institution.
27. The Company has no transactions with companies struck off under Sec.248 of the Companies Act, 2013 or Sec.560 of the Companies Act, 1956.
28. The Company has not traded or invested in Crypto currency or Virtual Currency during the financial year.



Long Term & Short Term Borrowings

S. No.	Particulars	Amount(2023-24)	Amount(2022-23)	Remarks
1	SBI GECL Loan	391.76	406.17	- Hypothecation on entire Fixed & Current Assets - Equitable Mortgage of Factory Land and Building & Residential Building - Rate of Interest – 9.25% p.a.
2	SBI Car Loan	10.21	12.16	- Secured against Nexon Car - Rate of Interest – 8.00% p.a.
3	SBI Car Loan	14.13	17.02	- Secured against Mahindra XUV Car - Rate of Interest – 9.25% p.a.
4	SBI Schiffi Loan – 3	451.20	565.49	- Hypothecation on entire Fixed & Current Assets - Equitable Mortgage of Factory Land and Building & Residential Building - Rate of Interest – 9.90% p.a.
5	SBI GECL Loan	60.30	244.53	- Hypothecation on entire Fixed & Current Assets - Equitable Mortgage of Factory Land and Building & Residential Building - Rate of Interest – 9.25% p.a.
6	SBI CC	1,656.62	1,767.79	- Hypothecation on entire Fixed & Current Assets - Equitable Mortgage of Factory Land and Building & Residential Building - Hypothecation on Book Debts and Stock - Rate of Interest – 9.90% p.a.
7	FCNR Working Capital Loan	3020.47	2105.45	- Hypothecation on entire Fixed & Current Assets - Equitable Mortgage of Factory Land and Building & Residential Building - Hypothecation on Book Debts and Stock

30. Cash Flow Statement :-

Cash flows are reported using indirect method as set out in AS -3 "Statement of Cash Flows", whereby profit (loss) before tax is adjusted for the effects of transactions of non-cash. The cash flows from operating, investing and financing activities of the Company are segregated based on the available information.



Employees Benefits :-

- a) Defined Contribution Plan- The contribution to defined contribution plan is charged off for the year. The details are as under:-
-Employer's contribution to provident Fund:- Rs.4.20(Rs 3.78)
-Employer's contribution to ESIC :- Rs.3.25(Rs 2.75)
-ESI Welfare contribution :- Rs.0.55(Rs 0.34)
- b) Short-term employee benefits- Employee benefits payable wholly within twelve months of receiving employee services are classified as short term employee benefits. These benefits include salaries and wages, leave with wages, bonus etc The amount of short-term employee benefits to be paid in exchange for employee services is recognized as an expense as the related service is rendered by employees. During the year under consideration the company has paid total director remuneration of Rs 66.00 to three directors as compared to PY figure of Rs 49.50 The detail of same is given above in related party disclosure point.

32. Title deeds of Immovable Property are held in name of the Company as at the balance sheet date (other than properties where the company is the lessee and the lease agreements are duly executed in favour of the company, if any).

In terms of Our Separate Audit Report of Even Date Attached.

For KDH TEXTILE PRIVATE LIMITED

For Jaikrit Malik & Associates
Chartered accountants

For KDH Textile Pvt. Ltd.

For KDH Textile Pvt. Ltd.

Sd/-
CA Jaikrit Malik
(Partner)
M.NO. 521088
Place: New Delhi
UDIN:
Date:



Director
Sd/-
Rajpal Narang
Director
DIN : 02440411

Director
Sd/-
Vickram Jeet Narang
Add. Director
DIN : 02839982